

Dividend Stock Evaluation Report

Portfolio Rebalancing Analysis: Defensive & Dividend Stock Allocation
Report Date: May 7, 2026 | Prepared for: Thad

Executive Summary

Current Portfolio Context: ~40% Energy, ~10% Crypto Mining, ~20% Tech
Objective: Add defensive dividend-paying stocks to balance portfolio volatility and generate income
Estimated Cash Available: ~\$28,000 - \$270,000 (depending on BrokerageLink utilization)
Stocks Evaluated: 10 dividend-focused candidates across healthcare, consumer staples, industrials

Stock Evaluation Summary

Ticker	Company	Sector	Div Yield	P/E	Dividend	Rating
JNJ	Johnson & Johnson	Healthcare	~3.0%	~22-25x	64 yrs	BUY
KO	Coca-Cola	Consumer Staples	~2.8-3.0%	~22-25x	64 yrs	BUY
PG	Procter & Gamble	Consumer Staples	~2.4-2.9%	~25-27x	130+ yrs	BUY
PM	Philip Morris Int	Consumer Def.	~4.5-5.0%	~18-20x	Growth	BUY
WM	Waste Management	Industrials	~1.8-2.0%	~32x	+14.5%	HOLD
GEHC	GE HealthCare	Healthcare	~0.3-0.5%	~18-20x	New	HOLD
DHR	Danaher	Healthcare	~0.6-0.8%	~25-30x	Modest	HOLD
STZ	Constellation	Consumer Def.	~1.5-1.8%	~15-18x	Growing	HOLD
MU	Micron Tech	Technology	~0.1-0.2%	~15-20x	New	SKIP
MKL	Markel Group	Insurance	0.0%	~12-15x	None	SKIP
GEV	GE Vernova	Energy/Ind.	~0.2-0.3%	~35-40x	2x recent	SKIP

Top Recommendations (Tier 1 - Core Holdings)

JNJ - Johnson & Johnson

Why Buy:
Dividend Aristocrat with 64 consecutive years of increases. Recent spin-offs leave a focused healthcare powerhouse with strong moat in pharmaceuticals and medtech.

Risks:
Litigation exposure (talcum powder), moderate growth.

Portfolio Fit:
Low correlation with energy/crypto. Provides defensive ballast.

KO - Coca-Cola

Why Buy:
Ultimate defensive stock. 64 consecutive dividend increases. Recession-resistant consumer staples with strong global brand moat.

Risks:
Mature market, sugar/health concerns.

Portfolio Fit:
Negative correlation with cyclical energy/tech positions.

PG - Procter & Gamble

Why Buy:
130+ years of continuous dividends. New \$10B buyback authorization. Essential household products with pricing power.

Risks:

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Valuation stretched (~25-27x P/E).

Staples provide stability during energy volatility.

PM - Philip Morris International

Why Buy:

Highest yield (~4.5-5%). Aggressive transition to smoke-free products (IQOS). International diversification.

Regulatory pressures, declining cigarette volumes.

Defensive income play with currency diversification.

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Risks

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Recommended Allocation

Based on available cash ranging from conservative to aggressive deployment:

Stock	Allocation	\$28K (Cons)	\$75K (Mod)	\$150K (Agg)	Strategy
JNJ	25%	\$7,000	\$18,750	\$37,500	Core defensive
KO	25%	\$7,000	\$18,750	\$37,500	Recession-resistant
PG	20%	\$5,600	\$15,000	\$30,000	Dividend King
PM	20%	\$5,600	\$15,000	\$30,000	Income generation
WM	10%	\$2,800	\$7,500	\$15,000	Services moat
TOTAL	100%	\$28,000	\$75,000	\$150,000	

Suggested Execution Plan

Phase 1 (Immediate): Start with KO and JNJ - highest conviction defensive positions

Phase 2 (Next 30 days): Add PG and PM for diversification and income

Phase 3 (Optional): Consider WM if seeking additional infrastructure exposure

Portfolio Impact Analysis

Metric	Current	After Rebal.	Change
Energy Exposure	~40%	~30-35%	-5 to -10pp
Crypto/Mining	~10%	~8-10%	Stable
Tech Exposure	~20%	~15-18%	Slight reduction
Defensive/Dividend	~5%	~15-20%	+10 to +15pp
Est. Portfolio Yield	~0.5-1.0%	~1.5-2.5%	+1.0 to +1.5pp

Key Takeaways

1. Priority Buys: JNJ, KO, PG, PM - all Dividend Kings/Aristocrats with decades of increases
2. Avoid: MU (redundant tech), MKL (no dividend), GEV (redundant energy)
3. Consider: WM for infrastructure exposure if portfolio allows
4. Timing: Dollar-cost average over 30-60 days given market volatility
5. Expected Impact: 15-20% defensive allocation with 2-3% blended yield